NAJRAN CEMENT COMPANY
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED
FINANCIAL STATEMENTS (UNAUDITED)

FOR THE THREE-MONTH
PERIOD ENDED 31 MARCH 2022 AND
INDEPENDENT AUDITOR’S REVIEW REPORT

Table of contents

BDO الدكتور محمد العمري وشركاه
Dr. Mohamed Al-Amri & Co.

Head office: Moon Tower - 8 Floor
P.O. Box 8736, Riyadh 11492
Unified Number : 92 002 4254
Fax : +966 11 278 2883

INDEPENDENT AUDITOR'S REVIEW REPORT ON THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

To The Shareholders of
Najran Cement Company (A Saudi Joint Stock Company)
Najran

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Najran Cement Company, a Saudi Joint Stock Company (the "Company" or the "Parent Company") and its subsidiary (collectively referred to as the "Group") as at 31 March 2022, and the related interim condensed consolidated statement of profit or loss, comprehensive income, changes in equity and cash flows for the three-month period then ended and a summary of significant accounting policies and other explanatory notes from (1) to (18). Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34") that is endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", that is endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily to the persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia, and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34, as endorsed in the Kingdom of Saudi Arabia.

For Dr. Mohamed Al-Amri & Co.

Maher Al-Khatieb
Certified Public Accountant
License Number 514

د. محمد العمري وشركاه - محاسبون قانونيون
شركة مهنية رقم ٣٢٣/١١/٠٦
س.ت ٤٠٣٠٢٧٥٣٣٠
Jeddah
Certified Public Accountants
Dr. Mohamed Al-Amri & Co.

23 May 2022(G)
22 Shawwal 1443 (H)

NAJRAN CEMENT COMPANY
(A Saudi Joint Stock Company)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
As at 31 March 2022

	Note	31 March 2022 SR '000 (Unaudited)	31 December 2021 SR '000 (Audited)
ASSETS			
Non-current assets			
Property, plant and equipment		1,953,717	1,963,093
Intangible assets		4,094	4,094
Total non-current assets		**1,957,811**	**1,967,187**
Current assets			
Store, spare parts and loose tools	7	153,204	149,998
Stock in trade	8	129,873	119,327
Trade receivables	9	26,582	28,221
Prepayments and other receivables		51,690	42,727
Cash and cash equivalents		115,461	82,090
Total current assets		**476,810**	**422,363**
TOTAL ASSETS		**2,434,621**	**2,389,550**
EQUITY AND LIABILITIES			
Equity			
Share capital	10	1,700,000	1,700,000
Statutory reserve		145,396	145,396
Retained earnings		101,212	120,427
Total equity		**1,946,608**	**1,965,823**
Non-current liabilities			
Provision for employees' benefits		37,820	36,849
Non-current portion of lease liability		5,597	5,597
Long term financing	11	227,500	227,500
Total non-current liabilities		**270,917**	**269,946**
Current liabilities			
Provision for zakat	12	8,165	6,134
Current portion of lease liability		246	451
Current portion of long-term financing	11	53,115	51,515
Contract liability - advances from customers		6,825	5,158
Trade payables		50,089	44,744
Dividend payable		43,618	1,118
Accrued and other payables		55,038	44,661
Total current liabilities		**217,096**	**153,781**
Total liabilities		**488,013**	**423,727**
TOTAL EQUITY AND LIABILITIES		**2,434,621**	**2,389,550**

The accompanying notes from (1) to (18) form an integral part of these interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS
For the three-month period ended 31 March 2022

		For the three-month period ended 31 March	
		2022	*2021*
		SR '000	*SR '000*
	Note	*(Unaudited)*	*(Unaudited)*
Revenue, net	13	139,865	184,431
Cost of revenue		(101,555)	(109,041)
Gross profit		**38,310**	75,390
Selling and distribution expense		(4,718)	(3,285)
General and administrative expense		(7,465)	(8,649)
Operating profit		**26,127**	63,456
Finance costs		(1,717)	(1,926)
Other income		906	761
Profit before zakat		**25,316**	62,291
Zakat	12	(2,031)	(1,950)
Net profit for the period		**23,285**	60,341
Earnings per share			
Earnings per share attributable to the shareholders of the Company:			
Basic and diluted (SR)		**0.14**	0.35
Weighted average number of shares outstanding:			
Basic and diluted ('000 shares)		**170,000**	170,000

The accompanying notes from (1) to (18) form an integral part of these interim condensed consolidated financial statements.

NAJRAN CEMENT COMPANY
(A Saudi Joint Stock Company)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
For the three-month period ended 31 March 2022

	For the three-month period ended 31 March	
	2022	*2021*
	SR '000	*SR '000*
	(Unaudited)	*(Unaudited)*
Net profit for the period	23,285	60,341
Other comprehensive income ("OCI")		
OCI to be reclassified to profit or loss in subsequent periods	-	-
OCI not to be reclassified to profit or loss in subsequent periods	-	-
Other comprehensive income	-	-
Total comprehensive income for the period	**23,285**	60,341

The accompanying notes from (1) to (18) form an integral part of these interim condensed consolidated financial statements.

NAJRAN CEMENT COMPANY
(A Saudi Joint Stock Company)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
For the three-month period ended 31 March 2022

	Note	Share capital SR '000	Statutory reserve SR '000	Retained earnings SR '000	Total SR '000
2022					
As 1 January 2022 (Audited)		**1,700,000**	**145,396**	**120,427**	**1,965,823**
Net profit for the period		-	-	23,285	23,285
Other comprehensive income		-	-	-	-
Total comprehensive income for the period		-	-	23,285	23,285
Dividends	16	-	-	(42,500)	(42,500)
Balance as at 31 March 2022 (Unaudited)		**1,700,000**	**145,396**	**101,212**	**1,946,608**
2021					
As 1 January 2021(Audited)		1,700,000	128,841	227,080	2,055,921
Net profit for the period		-	-	60,341	60,341
Other comprehensive income		-	-	-	-
Total comprehensive income		-	-	60,341	60,341
Dividends	16	-	-	(127,500)	(127,500)
Balance as at 31 March 2021 (Unaudited)		1,700,000	128,841	159,921	1,988,762

The accompanying notes from (1) to (18) form an integral part of these interim condensed consolidated financial statements.

NAJRAN CEMENT COMPANY
(A Saudi Joint Stock Company)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
For the three-month period ended 31 March 2022

	Note	*For the three-month period ended 31 March* 2022 SR '000 (Unaudited)	2021 SR '000 (Unaudited)
OPERATING ACTIVITIES			
Profit before zakat		25,316	62,291
Adjustments for non-cash items:			
Depreciation and amortization	6	18,039	17,869
Finance cost		1,717	1,977
Provision for employees' benefits		1,215	1,022
Operating cash flow before working capital changes		**46,287**	83,159
Changes in working capital:			
Trade receivables		1,639	306
Store, spare parts and loose tools		(3,206)	(3,013)
Stock in trade		(10,546)	34,264
Prepayments and other receivables		(8,963)	1,741
Contract liability - advances from customers		1,667	(671)
Trade payables		5,345	1,497
Accrued and other payables		10,377	10,206
Cash generated from operating activities		**42,600**	127,489
Finance costs paid		(22)	-
End of service benefits paid		(244)	(165)
Net cash generated from operating activities		**42,334**	127,324
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	6	(8,663)	(7,728)
Additions to capital work-in-progress	6	-	(3,387)
Net cash used in investing activities		**(8,663)**	(11,115)
FINANCING ACTIVITIES			
Payment of lease liability		**(300)**	(300)
Board of directors renumeration paid		-	(3,750)
Dividends paid		-	-
Net cash used in financing activities		**(300)**	(4,050)
Net change in cash and cash equivalents		33,371	112,159
Cash and cash equivalents at the beginning of the period		82,090	171,569
Cash and cash equivalents at the end of the period		**115,461**	283,728

The accompanying notes from (1) to (18) form an integral part of these interim condensed consolidated financial statements.

1 CORPORATE INFORMATION

Najran Cement Company ("the Company" or "the Parent Company"), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company's shares are listed in the Capital Market Authority (CMA) in the Kingdom of Saudi Arabia.

These interim condensed consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (together referred to as the "Group").

The principal activities of the Company are manufacturing of ordinary portland cement and cement resistant to salts.

2 BASIS OF PREPARATION

These interim condensed consolidated financial statements have been prepared in accordance with International Accounting Standard IAS 34 'Interim Financial Reporting' that is endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued by Saudi Organization for Chartered and Professional Accountants ("SOCPA") and should be read in conjunction with the Group's last annual consolidated financial statements for the year ended 31 December 2021.

These interim condensed consolidated financial statements do not include all of the information normally required for a complete set of consolidated financial statements. However, certain accounting policies and selected explanatory notes are included to explain events and transactions that are significant to an understanding of the changes in the Group's financial position and performance since 31 December 2021.

The interim condensed consolidated financial statements have been prepared on a historical cost basis except for financial derivatives that have been measured at fair value and for employee benefit liabilities, projected unit credit method is used. The interim condensed consolidated financial statements are presented in Saudi Riyals ("SR"), which is the functional and presentational currency of the Group.

3 STATEMENT OF COMPLIANCE

The accounting policies adopted in the preparation of these interim condensed financial statements are consistent with those followed in the preparation of the Group annual financial statements for the year ended 31 December 2021.

The disclosures in these interim condensed consolidated financial statements do not include the information reported for full annual financial statements and should therefore be read in conjunction with the consolidated financial statements of the Group for the year ended 31 December 2021. Comparative interim condensed statement of financial position is extracted from annual financial statements as at 31 December 2021 whereas comparative interim condensed statement of profit or loss account, interim condensed statement comprehensive income, interim condensed statement of changes in equity and interim condensed statement of cash flows are extracted from unaudited interim condensed financial statements of the Group for the three-month period ended 31 March 2021.

3 STATEMENT OF COMPLIANCE (CONTINUED)

3.1 New standards, interpretations and amendments adopted by the Group

The accounting policies used in the preparation of these interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's consolidated financial statements for the year ended 31 December 2021, except for the following amendments which apply for the first time in 2022. However, not all are expected to impact the Group as they are either not relevant to the Group's activities or require accounting which is consistent with the Group's current accounting policies.

The following amendments are effective for the period beginning 1 January 2022:

- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37);
- Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16);
- Annual Improvements to IFRS Standards 2018-2020 (Amendments to IFRS 1, IFRS 9, IFRS 16 and IAS 41); and
- References to Conceptual Framework (Amendments to IFRS 3).

These amendments had no impact on the interim condensed consolidated financial statements of the Group as there are no such transactions under the above amendments during the current period.

Impact of accounting standards to be applied in future periods
There are a number of standards and interpretations which have been issued by the International Accounting Standards Board that are effective for periods beginning subsequent to 31 December 2022 (the date of the Group's next annual financial statements) that the Group has decided not to adopt early. The Group does not believe these standards and interpretations will have a material impact on the financial statements once adopted.

4 SIGNIFICANT ACCOUNTING ESTIMATES, JUDGEMENTS AND ASSUMPTIONS

The preparation of the Group interim condensed consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Actual results may differ from these estimates.

The significant judgments made by management in applying the Group the key sources of estimation uncertainty were the same as those described in the consolidated financial statements for the year ended 31 December 2021. However, the Group has also reviewed the key sources of estimation uncertainties disclosed in its 2021 annual consolidated financial statements. Management believes that all sources of estimation uncertainty remain similar to those disclosed in the 2021 consolidated financial statements. The Group will continue to monitor the situation, and any changes required will be reflected in future reporting periods.

5 SEGMENTAL REPORTING

The Group is engaged in one operating segment, i.e., manufacturing cement and operates in entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided onto different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia. The financial information of the Subsidiary is not significant to the Group's interim condensed consolidated financial statements for segmental information.

6 PROPERTY, PLANT AND EQUIPMENT

For purpose of preparing the interim condensed consolidated statement of cash flows, movement in property, plant and equipment during the three-month period ended 31 March is as follows:

	31 March 2022 SR '000 (Unaudited)	*31 March 2021 SR '000 (Unaudited*
Depreciation	18,039	17,869
Additions to property, plant and equipment	(8,663)	(7,728)
Additions to capital work- in- progress	-	(3,387)

7 STORES, SPARE PARTS AND LOOSE TOOLS

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Consumables spare parts	158,527	155,321
Less: provision for slow moving items	(5,323)	(5,323)
	153,204	149,998

8 STOCK IN TRADE

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Raw materials, fuel and packing materials	23,425	23,002
Finished goods	7,925	5,875
Work in process	98,523	90,404
Fuel in transit	-	46
	129,873	119,327

9 TRADE RECEIVABLES

9.1 Trade Receivables

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Trade receivables	28,776	30,459
Less: provision for expected credit loss	(1,803)	(1,803)
	26,973	28,656
Less: area incentives	(391)	(435)
	26,582	28,221

Trade receivables are non-interest bearing and are generally on terms of 30 to 90 days.

9 TRADE RECEIVABLES (Continued)

9.2 Movement in the provision for expected credit loss is as follows:

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Balance at the beginning	1,803	11,650
Charged during the period / year	-	232
Written-off during the period / year	-	(10,079)
Balance at the end of the period / year	1,803	1,803

10 SHARE CAPITAL

The authorized share capital of the Company comprised 170 million ordinary shares stated at SR 10 per share. All shares are issued and fully paid. (31 December 2021: 170 million ordinary shares stated at SR 10 per share).

11 LONG TERM FINANCING

11.1 Long-term borrowings

Long-term borrowing from commercial banks is presented as follows:

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Principal amount, beginning balance	278,500	329,500
Less: repayments /redemptions during the period /	-	(51,000)
Net principal amount	278,500	278,500
Accrued mark up for the period / year	2,115	515
	280,615	279,015
Less: Transferred to current liabilities	(53,115)	(51,515)
Balance at the end of the period / year	227,500	227,500

11.2 Tawarruq

During 2020, the Company signed financing agreement (Tawarruq) for SR 355 million with Bank AlJazira to fully redeem the outstanding amount of the Sukuk that was due in June 2020. The Tawarruq facility is repayable in five years through ten semi-annual instalments and bears a mark-up of SAIBOR plus 1.40 %. The amount is secured by first charge for insurance proceeds on Company's plant and equipment and a promissory note to the amount of actual drawdown. The amount of the facility was drawn in full.

Two multiple purpose facilities aggregating SR 85 million are also available but not utilized.

The carrying values of the short-term borrowings are denominated in Saudi riyals.

11 LONG TERM FINANCING (CONTINUED)

11.3 Loan covenants

The loans contain certain covenants. A future breach of covenants may lead to renegotiation. The covenants are monitored on a monthly basis by the management. In case of potential breach, actions are taken by the management to ensure compliance. During the period ended 31 March 2022, there has been no non-compliance of loan covenants.

The above loan is Sharia compliant.

12 ZAKAT STATUS

The movement in zakat payable on the Company was as follows:

	31 March 2022 SR '000 (Unaudited)	*31 December 2021 SR '000 (Audited)*
Balance at beginning of the period / year	6,134	8,721
Provided during the period / year	2,031	5,463
Paid during the period / year	-	(8,050)
Balance at the end of the period / year	8,165	6,134

Zakat for the period ended 31 March 2022 is calculated based on the management's estimate, which may not represent an accurate indication about zakat for the year ending 31 December 2022.

The company submitted its zakat returns to the Zakat, Tax and Customs Authority (ZATCA) for the years up to 31 December 2021, and the company paid the liabilities for these years based on the zakat returns. The final assessment was obtained for the years from 2006 to 2011 as well as for the years from 2014 to 2020.

13 REVENUE, NET

13.1 Disaggregated revenue information

Segment	*Three-month period ended 31 March*	
	2022 SR '000 (Unaudited)	*2021 SR '000 (Unaudited)*
Product type		
Cement	139,865	184,431
Total revenue	139,865	184,431
Customer type		
Corporate customers	139,865	184,431
Total revenue	139,865	184,431
Geographical markets		
Local	132,052	173,599
Export	7,813	10,832
Total revenue	139,865	184,431

13.1 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or within 90 days from delivery.

14 CONTINGENCIES AND COMMITMENTS

The Group was contingently liable for letters of credit and bills for collections issued in the normal course of the business amounting to SR 94 thousand at 31 March 2022 (31 December 2021: SR 400 thousand)

15 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the three-month periods ended 31 March 2022:

	Three-month period ended 31 March	
	2022	*2021*
	SR'000	*SR'000*
Yaal Alarabeya Company (Sales)	1,147	132

Allowances and compensation of the Board of Directors and senior executives

The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged and accrued during the three-month period ended 31 March 2022 amounting to SR 953 thousand (31 March 2021: SR 400 thousand).

Key management personnel compensation comprised the following:

	31 March 2022	*31 March 2021*
	SR'000	*SR'000*
	(Unaudited)	*(Unaudited)*
Short term employee benefits	2,527	2,484
Post-employment benefits	317	343
	2,844	2,827

16 DIVIDENDS

- Board of directors of the Company, in its meeting held on 16 March 2022 (corresponding to 13 Shaban 1443H), recommended an interim dividend of SR 42.5 million (SR 0.25 per share) that was approved by the shareholders of the Company, in an Annual General Assembly meeting held on 13 April 2022 (corresponding to 12 Ramadan 1443H) paid on 19 April 2022 (corresponding to 18 Ramadan 1443H).

- The shareholders of the Company, in Annual General Assembly meeting held on 31 March 2021 (corresponding to 18 Shaaban 1442H), approved a final dividend of SR 127.5 million (SR 0.75 per share) that was paid on 13 April 2021 (corresponding to 1 Ramadan 1442H).

17 FINANCIAL INSTRUMENTS

17.1 Fair value measurements of financial instruments

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value as the carrying amount is considered a reasonable approximation of their fair value.

	31 March 2022						
	Carrying amount			*Fair value*			
	Fair value *SR '000*	*Amortized cost* *SR '000*	*Total* *SR '000*	*Level 1* *SR '000*	*Level 2* *SR '000*	*Level 3* *SR '000*	***Total*** ***SR '000***
Financial assets							
Trade receivables	-	26,582	26,582	-	-	-	-
Cash and cash equivalents	-	115,461	115,461	-	-	-	-
	-	142,043	142,043	-	-	-	-
Financial liabilities							
Long term financing	-	280,615	280,615	-	-	-	-
Trade payables	-	50,089	50,089	-	-	-	-
Accrued and other payables	-	44,858	44,858	-	-	-	-
	-	375,562	375,562	-	-	-	-

	31 December 2021						
	Carrying amount			*Fair value*			
	Fair value *SR '000*	*Amortized cost* *SR '000*	*Total* *SR '000*	*Level 1* *SR '000*	*Level 2* *SR '000*	*Level 3* *SR '000*	*Total* *SR '000*
Financial assets							
Trade receivables	-	28,221	28,221	-	-	-	-
Cash and cash equivalents	-	82,090	82,090	-	-	-	-
	-	110,311	110,311	-	-	-	-
Financial liabilities							
Long term financing	-	279,015	279,015	-	-	-	-
Trade payables	-	44,744	44,744	-	-	-	-
Accrued and other payables	-	36,763	36,763	-	-	-	-
	-	360,522	360,522	-	-	-	-

18 APPROVAL OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

These interim condensed consolidated financial statements were authorized for issue by the Company's board of directors on 19 May 2022 (corresponding to 18 Shawwal 1443H).